

with their decision for two to three years. As a result, they do not even come close to matching the returns that many mutual funds advertise as their average annual return.

Averages can be very misleading, especially in niche markets, aggressive growth funds, or international funds. Huge swings in a stock can average out over time to a value that does not even come close to approximating the stock's real value at any single moment.

The longer you own an investment, the closer you will get to the real average return on that investment. To reach realistic goals, you have to hang on to a good mutual fund for at least five years, preferably ten! This is not to say you shouldn't diversify and buy and hold a few different types of mutual funds. Just don't sell a mutual fund that had a good long term track record (when you bought it) because another fund is doing better, or because performance seems to be lacking.

If you've done your homework, and the fund has a ten-year performance record that you were happy with when you started your investment, then do yourself a favor and hang on to it for at least five years. Most likely, you will eventually look back at the one to three year mark when you considered dumping it as a time when you probably should have bought more stock.

When investing money, emotions tend to obscure the wisdom of buying low and selling high. When the market corrects itself by dropping, the tendency is to sell when in fact it should be the time to buy. Think of a correction as an opportunity to purchase stock in companies at a significantly lower price (a sale) instead of as a time to jump ship. Rarely does the ship sink; it's just encountering rough seas with lots of waves. Interestingly, the State Street Investor Confidence Index for August 2007 found that despite the recent sub-prime mortgage crisis, investors' enthusiasm has not been dampened. This may seem paradoxical but it should be remembered that for every seller,

